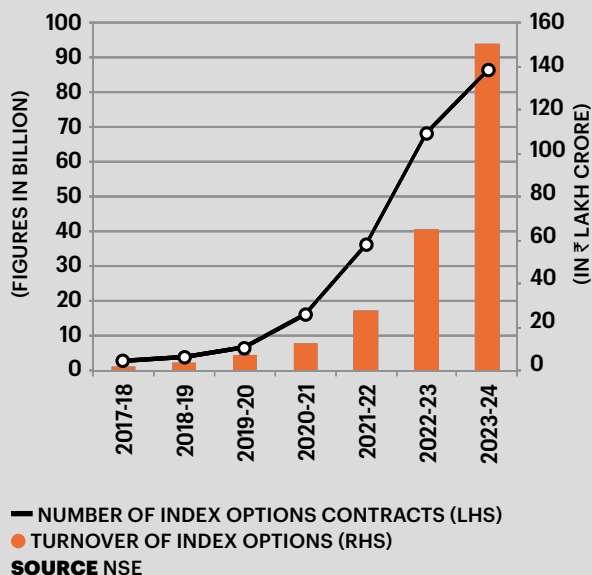


THE GROWING PROBLEM

► Index options are more popular than index futures ► Index options have shown the highest growth over the years



as the options buyer, would lose a maximum of ₹10,000 as premium. However, if the index does reach 25,000 points, the premium will be, let us say, around ₹600 a share. Then the buyer stands to make a profit of 200%, or ₹20,000.

The surge in F&O volumes is a post-Covid phenomenon, driven by new investors. Of the 150 million investors in the country, 120 million have entered the market in the past three years, according to data from the Securities and Exchange Board of India (Sebi). The F&O market's low entry costs, high leverage, and potential

for significant returns have made it highly attractive to newcomers. This is amplified by discount brokerage firms, new-age trading platforms, and investment advice offered on social media like YouTube, WhatsApp, and Telegram—either for free or for a subscription fee.

The sheer scale of the F&O market—it is 368 times the volume of the cash market and nearly 245 times the country's projected nominal GDP of ₹326 lakh crore in FY25—has set off alarm bells. This rapid growth is a reminder of past financial bubbles, such as the 2008 global financial crisis, triggered by mortgage derivatives. And that is making the government, regulators, and exchanges jittery. This has led to the government levying additional taxes on F&O trades that come into effect from October 1, and Sebi planning more regulations to make F&O trading inaccessible for small investors.

Market regulators, stock exchanges, and brokers have all contributed to making F&Os attractive to investors, with the government collecting ₹60,000 crore annually from taxes. Why the crackdown on F&Os then?

THE BIG RISK

The Economic Survey 2023-24 points to the gambling instinct of retail investors. "Derivatives trading holds the potential for outsized gains. Thus, it caters to humans' gambling instincts," it states. And that is a perception the stock market does not want to create, says Gurpreet Sidana, CEO of Religare Broking Ltd. The options market is complex, requiring knowledge of risk terminologies and pricing models.

"Unfortunately, many retail investors may find it difficult to grasp how the mechanics of the F&O market work," says Vaibhav Sanghavi, CEO of ASK Hedge Solutions. Sebi is also troubled by the fact that retail investors have lost ₹52,000 crore in F&O activity dur-

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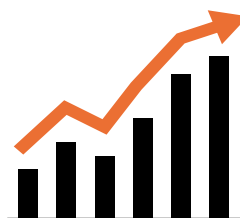
strike price + premium to only premium

2015 Contract value for futures raised to ₹5 lakh by Sebi, putting them out of reach of small investors

2018 Sebi mandates physical settlement

for stock derivatives to check speculation; NSE introduces weekly options on Nifty 50 index, increasing frequency of derivative contracts' expiry

2019 New margin framework unveiled to ensure adequate



risk management in derivatives

2021 New norms on

margin requirements, restrictions on intra-day trading leverage

2022 NSE introduces weekly options contracts on sectoral indices

2024 Union Budget increases STT on F&O